adopted definition of consolidated market data. Therefore, the Commission is adopting the estimates for the initial burden and costs as proposed.

Additionally, as explained in detail above,[1565] the Commission does not believe that collecting, calculating, or providing regulatory data will impose significant ongoing burdens or costs on primary listing exchanges, since primary listing exchanges already obtain the necessary data from other exchanges and generate and provide certain regulatory information today. In addition, they can be reimbursed for the costs of providing regulatory data through fees established by the effective national market system plan(s). Therefore, the Commission is adopting the estimates for the ongoing burden and costs as proposed.

E. Collection of Information is Mandatory

The collection of information discussed above is a mandatory collection of information.

F. Confidentiality

1. Registration Requirements and Form CC

Pursuant to Rule 614(b)(2), the Commission would make public via posting on the Commission's website each: (i) effective initial Form CC, as amended; (ii) order of ineffectiveness of a Form CC; (iii) filed Form CC Amendment; and (iv) notice of cessation.

2. Competing Consolidator Duties and Data Collection and Maintenance

The collection of information under Rule 614(d)(1) through (3) would be public.

3. Competing Consolidators' Public Posting of Form CC

The collection of information under Rule 614(c) would be available to the public.

[1565] See supra Section II.H.2(a).

4. Recordkeeping

The collection of information relating to recordkeeping would be available to the Commission and its staff and to other regulators.

5. Reports and Reviews

The collection of information regarding reports and reviews under Rule 614(d)(5) and (d)(6) relates to information that would be published on competing consolidator websites.

6. Amendment to the Effective National Market System Plan(s) for NMS Stocks

The amendment to the effective national market system plan(s) for NMS stocks would be required to be filed with the Commission pursuant to Rule 608. Once filed, the Commission will publish the amendment for public comment. The timestamps applied by the SROs would be made available to competing consolidators and their subscribers. The annual report of competing consolidator performance would be submitted to the Commission. The list of the primary listing market for each NMS stock would be available to the public.

7. Collection and Dissemination of Information by National Securities Exchanges and National Securities Associations

Rule 603(b) would require national securities exchanges and national securities associations to collect and provide information to the competing consolidators and self-aggregators, not to the Commission. Therefore, no assurances of confidentiality are necessary because the information will be made available to the public for a fee from the competing consolidators.

G. Revisions to Current Regulation SCI Burden Estimates and Adoption of Rule 614(d)(9)

1. Proposed Estimates – Burden and Costs

The Commission proposed to expand the definition of "SCI entities" under Regulation SCI[1566] to include competing consolidators, which would subject them to the requirements of Regulation SCI. The rules under Regulation SCI impose "collection of information" requirements within the meaning of the PRA.[1567]

1566 See Rule 1000 of Regulation SCI.

1567 Rule 1001(a) of Regulation SCI requires each SCI entity to establish, maintain, and enforce written policies and procedures for systems capacity, integrity, resiliency, availability, and security. 17 CFR 242.1001(b) (Rule 1001(b)) requires each SCI entity to establish, maintain, and enforce written policies and procedures to ensure that its SCI systems operate in a manner that complies with the Exchange Act, the rules and regulations thereunder, and the SCI entity's rules and governing documents, as applicable. Rule 1001(c) requires each SCI entity to establish, maintain, and enforce written policies and procedures for the identification, designation, and documentation of responsible SCI personnel and escalation procedures. Rule 1002(a) requires each SCI entity to begin to take appropriate corrective action upon any responsible SCI personnel having a reasonable basis to conclude that an SCI event has occurred. 17 CFR 242.1002(b) (Rule 1002(b)) requires each SCI entity to notify the Commission of certain SCI events. Rule 1002(c) requires each SCI entity, with certain exceptions, to disseminate information about SCI events to affected members or participants and disseminate information about major SCI events to all members or participants. 17 CFR 242.1003(a) (Rule 1003(a)) requires each SCI entity to notify the Commission of material systems changes quarterly. 17 CFR 242.1003(b) (Rule 1003(b)) requires each SCI entity to conduct annual SCI reviews. Rule 1004 requires each SCI entity to designate certain members or participants for participation in functional and performance testing of the SCI entity's business continuity and disaster recovery plans and to coordinate such testing with other SCI entities. Rules 1005 and 1007 set forth recordkeeping requirements for SCI entities. Rule 1006 requires, with certain exceptions, that each SCI entity electronically file required notifications, reviews, descriptions, analysis, or reports to the Commission on Form SCI. For a complete analysis of Regulation SCI under the PRA, see SCI Adopting Release, supra note 1037, at 18141; Proposed Collection; Comment Request; Extension: Regulation SCI, Form SCI; SEC File No. 270-653, OMB Control

In 2018, there were an estimated 42 entities that met the definition of SCI entity and were subject to the collection of information requirements of Regulation SCI ("respondents").[1568] At that time, an estimate of approximately two entities would become SCI entities each year, one of which would be an SRO. Accordingly, under these estimates, over the following three years, there would be an average of approximately 44 SCI entities each year.[1569]

In the Proposing Release, the Commission estimated that there would be 12 competing consolidators that would be subject to Regulation SCI as SCI entities.[1570] The Commission noted that some of these entities may already be SCI entities and subject to the requirements of Regulation SCI. While the Commission estimated that the number of respondents would increase as a result of the proposal, the Commission estimated that its prior paperwork burden estimates per entity under Regulation SCI generally would be applicable to the new competing consolidators because they would be subject to the same requirements and burdens as other SCI entities.[1571] At the same time, the Commission acknowledged that burden estimates also should take into account the extent to which the entities that may register to become competing consolidators already comply with the requirements of Regulation SCI.

No. 3235-0703, 83 FR 34179 ("2018 PRA Extension"). For further details regarding the requirements of Regulation SCI, see SCI Adopting Release, supra note 1233.

1568 See 2018 PRA Extension, supra note 1567, at 34180.

1569 Id.

1570 See Proposing Release, 85 FR at 16808.

1571 See 2018 PRA Extension, supra note 1567. The Commission estimated that six of the 12 entities that may register as competing consolidators were already SCI entities. Thus, the Commission estimated that there would be an average of approximately 50 SCI entities each year.

In particular, the Commission estimated that two of the estimated 12 competing consolidators may be the existing exclusive SIPs, which are currently subject to Regulation SCI as plan processors. Because these entities are responsible for collecting, consolidating, and disseminating proposed consolidated market data products to market participants and thus would be operating a substantially similar business and performing a similar function in their role as competing consolidators, the Commission estimated that the current ongoing burden estimates for existing SCI entities would be applicable and there would be no material change in the estimated paperwork burdens for these entities under Regulation SCI.[1572]

The Commission also estimated that four of the entities that may register to become competing consolidators may be either: (i) an SRO currently subject to Regulation SCI; or (ii) an entity affiliated with an SCI SRO, formerly subject to Regulation SCI. The burden estimates for SCI entity respondents include both initial burdens for new SCI entities and ongoing burdens for all SCI entities.[1573] Because the SRO entities that would become competing consolidators are current SCI entities and are already required to implement the requirements of Regulation SCI with regard to SCI systems that they operate in their role as SCI SROs, the Commission estimated that these entities would not have initial burdens equivalent to those estimated for new SCI entities. At the same time, the Commission estimated that these SROs may be a national securities association and/or equities national securities exchanges that do not currently operate an exclusive SIP. Because these entities would be entering an entirely new business and performing a new function with new SCI systems, unlike the current exclusive SIPs who may register to become competing consolidators, the Commission estimated that the SRO entities

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1572 Id. The burden estimates for SCI entity respondents included initial burdens for new SCI entities and ongoing burdens for all SCI entities.

1573 Id.

would have some initial burden that would be a percentage of that which entirely new SCI entities would have. In particular, the Commission estimated that the initial burdens for existing SCI SROs who register as competing consolidators would be 50 percent of the estimated initial burdens for entirely new SCI entities. The Commission also estimated that the ongoing paperwork burden estimates for all SCI entities would be applicable to these entities as well.[1574]

The Commission estimated that the remaining six estimated competing consolidators may be entities that are not currently subject to Regulation SCI, such as market data aggregation firms, broker-dealers that currently aggregate market data for internal uses, and entities that would be entering the market data aggregation business for the first time.[1575] The Commission estimated that these entities would have the same estimated initial paperwork burdens as those estimated for new SCI entities and the same ongoing paperwork burdens as all other SCI entities.[1576]

2. Comments/Responses on Burden and Costs

Two commenters stated that the Commission underestimated the costs of compliance with Regulation SCI.[1577] One commenter stated that such compliance would require the development of technology environments for production, disaster recovery, development/quality assurance, and customer testing, and as such, the initial costs would greatly exceed the Commission's estimates, possibly by three to four times the amount.[1578] Competing

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1574 The ongoing paperwork burden estimates in the PRA Extension do not distinguish between different categories of SCI entities but rather provide an average for all SCI entities.

1575 See Proposing Release, 85 FR at 16809.

1576 See 2018 PRA Extension, supra note 1567.

1577 See IDS Letter I at 13 and STANY Letter II at 6–7. See supra note 1572.

1578 IDS Letter I at 13.

consolidators may choose to develop four separate environments in the interest of resiliency and redundancy as suggested by this commenter, however, Regulation SCI does not prescribe this approach. While Regulation SCI does require SCI entities to maintain business continuity and disaster recovery plans which would include the development of technology environments for disaster recovery, the Commission included paperwork burdens related to this requirement in its estimates. In contrast, non-production systems are excluded from the scope of Regulation SCI[1579] and as such, burden estimates related to such systems are excluded from the Commission's burden estimates. Further, as discussed in the Proposing Release, the Commission believes that the burdens for competing consolidators that are subject to Regulation SCI would be the same as those the Commission has previously estimated for other SCI entities (or a percentage thereof if already an SCI entity or an affiliate thereof as described above), as the requirements are the same for all SCI entities. The Commission's 2018 burden estimates were based on the Commission's experience over three years subsequent to Regulation SCI's adoption in 2014 including, for example, Commission staff's experience in conducting examinations of SCI entities and receiving and reviewing notifications and reports required by Regulation SCI. For these reasons, the Commission does not agree with the assertions of this commenter that the estimates of initial burdens were underestimated.

Another commenter stated that the Commission underestimated the ongoing cost of compliance with Regulation SCI, citing a reference to $68,710 of initial costs and $21,810 of ongoing costs.[1580] These estimates, however, were of non-paperwork related costs and were given in regard to a potential alternative that the Commission had considered of not extending all

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[1579] See SCI Adopting Release at 72273.

[1580] See STANY Letter II at 6–7.

of the requirements of Regulation SCI to competing consolidators, but instead only imposing a broad policies and procedures requirement.

3. Adopted Estimates – Burden and Costs

As described above, while the Commission had proposed to apply the requirements of Regulation SCI to all competing consolidators, it has determined to adopt a two-pronged approach and, following the SCI CC Phase-In Period, will apply the requirements of Regulation SCI to those competing consolidators that meet the 5% gross revenue threshold ("SCI competing consolidators").[1581] During the SCI CC Phase-In Period, and subsequently, for those competing consolidators that do not meet the 5% revenue threshold, a more tailored set of resiliency requirements substantially similar to certain of the key provisions in Regulation SCI will apply.

As discussed above, the Commission now estimates that there would be eight persons who could decide to perform the functions of a competing consolidator. In the Proposing Release, the Commission estimated that all 12 of the estimated competing consolidators would subject to Regulation SCI as SCI entities.[1582] However, in light of the reduction of the estimated competing consolidators to eight and the 5% revenue threshold that the Commission is adopting in the definition of "SCI competing consolidator," the Commission now estimates that seven competing consolidators will meet this definition and be subject to the requirements of Regulation SCI. The Commission estimates that one competing consolidator will not meet the 5% revenue threshold test in the definition and will instead be subject to the streamlined

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1581 As described in detail above, an "SCI competing consolidator" means any competing consolidator, as defined in §242.600 which, during at least four of the preceding six calendar months, accounted for five percent (5%) or more of consolidated market data gross revenue paid to the effective national market system plan or plans required under §242.603(b), for NMS stocks (1) listed on the NYSE, (2) listed on Nasdaq, or (3) listed on national securities exchanges other than the NYSE or Nasdaq.

1582 See supra note 1570.

requirements of Rule 619(d)(9). Of the seven competing consolidators subject to the requirements of Regulation SCI, the Commission believes: two may be the existing exclusive SIPs, which are currently subject to Regulation SCI as plan processors; one may be an existing SCI SRO or entity affiliated with an SCI SRO that is subject to Regulation SCI; and four may be entities not currently subject to Regulation SCI, such as market data aggregation firms, broker-dealers that currently aggregate market data for internal uses, and entities that would be entering the market data aggregation business for the first time. The Commission is adopting the burden estimates as proposed for the seven competing consolidators in these categories that will be subject to the requirements of Regulation SCI.[1583]

The Commission estimates that one of the eight competing consolidators will not meet the definition of "SCI competing consolidator" and will be subject to the requirements of subparagraph (d)(9) of Rule 619.

(a) Summary of Collection of Information

The provisions under Rule 619(d)(9) impose "collection of information" requirements within the meaning of the PRA. Paragraph (d)(9)(ii) of Rule 614 requires competing consolidators to establish, maintain, and enforce written policies and procedures reasonably designed to ensure: that their systems involved in the collection, consolidation, and dissemination of consolidated market data have levels of capacity, integrity, resiliency,

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[1583] While the burden estimates are not being revised, the Commission notes that it has revised the number of entities that may become competing consolidators that are not currently subject to Regulation SCI. Specifically, the Commission estimates that there will be 4 entities not currently subject to Regulation SCI that will meet the definition of "SCI competing consolidator" and become subject to Regulation SCI, as compared to the 6 that the Commission estimated would become subject to Regulation SCI previously.

availability, and security adequate to maintain the competing consolidator's operational capability and promote the maintenance of fair and orderly markets; and the prompt, accurate, and reliable dissemination of consolidated market data.[1584] Competing consolidators will also be required to periodically review the effectiveness of the policies and procedures required by paragraph (d)(9)(ii)(B) of Rule 614, and take prompt action to remedy deficiencies in such policies and procedures. Paragraph (ii)(C) of Rule 614(d)(9) will require competing consolidators to establish, maintain, and enforce reasonably designed written policies and procedures that include the criteria for identifying responsible personnel, the designation and documentation of responsible personnel, and escalation procedures to quickly inform responsible personnel of potential systems disruptions and systems intrusions; and periodically review the effectiveness of the policies and procedures, and take prompt action to remedy deficiencies.[1585] Under paragraph (d)(9)(iii)(A) of Rule 614, competing consolidators will be required to, upon responsible personnel having a reasonable basis to conclude that a systems disruption or systems intrusion of systems involved in the collection, consolidation, and dissemination of consolidated market data has occurred, begin to take appropriate corrective action.[1586] The Commission believes that competing consolidators will likely work to develop a written process for ensuring they are prepared to comply with the corrective action requirement and are likely also to periodically review this process. Rule 614(d)(9)(iii)(B) will require that promptly upon responsible personnel having a reasonable basis to conclude that a systems disruption (other than

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1584 See Rule 614(d)(9)(ii)(A)(1) of Regulation NMS.

1585 See Rule 614(d)(9)(ii)(B) of Regulation NMS.

1586 See Rule 614(d)(9)(iii)(A) of Regulation NMS.